

ALITO, J., dissenting

the facts of the present case. An alien admitted on a student visa does little if any work in his courses. When his grades are sent to him at the end of the spring semester, he deliberately declines to look at them. Over the summer, he receives correspondence from the college, but he refuses to open any of it. He has good reason to know that he has probably flunked out and that, as a result, his visa is no longer good. But he doesn't *actually know* that he is not still a student. Does that take him outside § 922(g)(8)? Is it likely that this is what Congress wanted?

That is most doubtful. Congress enacted § 922(g)'s status-based restrictions because of its judgment that specific classes of people are "potentially irresponsible and dangerous" and therefore should be prohibited from owning or possessing firearms and ammunition. *Barrett v. United States*, 423 U. S. 212, 218 (1976). It is highly unlikely that Congress wanted defendants to be able to escape liability under this provision by deliberately failing to verify their status.

Third, while the majority's interpretation would frustrate Congress's public safety objectives in cases involving some of the § 922(g) status categories, in prosecutions under the most frequently invoked category, possession by a convicted felon, the majority's interpretation will produce perverse results. A felony conviction is almost always followed by imprisonment, parole or its equivalent, or at least a fine. Juries will rarely doubt that a defendant convicted of a felony has forgotten that experience, and therefore requiring the prosecution to prove that the defendant knew that he had a prior felony conviction will do little for defendants. But if the prosecution must prove such knowledge to the satisfaction of a jury, then under our decision in *Old Chief v. United States*, 519 U. S. 172 (1997), it is questionable whether a defendant, by offering to stipulate that he has a prior conviction, can prevent the prosecution from offering evidence about the nature of that offense. And the admission of that information may work to a § 922(g) defendant's detriment.

ALITO, J., dissenting

Old Chief recognized that a party is generally entitled to admit evidence to prove a necessary fact even if the opposing party offers to stipulate to that fact, *id.*, at 186–190, but the Court held that a § 922(g) defendant’s offer to stipulate to the fact that he had a prior felony conviction precluded the prosecution from offering evidence about the identity of that offense. This holding appears to rest on the understanding that § 922(g) requires proof of status but not of knowledge. See *id.*, at 190 (suggesting that a prosecutor would be entitled to seek admission of evidence of the nature of a prior felony if offered to prove knowledge). So if a defendant’s knowledge is now necessary, the logic of *Old Chief* is undermined.

Fourth, the majority’s interpretation of § 922(g) would lead to an anomaly that Congress is unlikely to have intended. Another provision of § 922—*i. e.*, § 922(d)(5)(A)—prohibits firearms sellers from selling to persons who fall within a § 922(g) category, but this provision does not require proof that the seller had actual knowledge of the purchaser’s status. It is enough if the seller had “reasonable cause” to know that a purchaser fell into a prohibited category. A person who falls into one of the § 922(g) categories is more likely to understand his own status than is a person who sells this individual a gun. Accordingly, it is hard to see why an individual who may fall into one of the § 922(g) categories should have less obligation to verify his own situation than does the person who sells him a gun. Yet that is where the majority’s interpretation leads.

Fifth, the legal landscape at the time of § 922(g)’s enactment weighs strongly against the majority’s reading. Long before Congress added the term “knowingly” to § 924(a)(2), federal law prohibited certain categories of people from possessing firearms. See Federal Firearms Act, 52 Stat. 1250; Act of Oct. 3, 1961, Pub. L. 87–342, 75 Stat. 757; Omnibus Crime Control and Safe Streets Act of 1968, Pub. L. 90–351, 82 Stat. 197; Gun Control Act of 1968, Pub. L. 90–618, 82

ALITO, J., dissenting

Stat. 1213, note following 18 U. S. C. § 921. These predecessors of § 922(g) did not expressly include any *mens rea* requirement, but courts generally interpreted them to require proof that a defendant acted knowingly in receiving, transporting, or possessing a firearm. The courts did not, however, require proof that a defendant knew that he fell within one of the covered categories or that his conduct satisfied the statutes' interstate-commerce requirement. See, e.g., *United States v. Santiesteban*, 825 F. 2d 779, 782–783 (CA4 1987); *United States v. Schmitt*, 748 F. 2d 249, 252 (CA5 1984); *United States v. Oliver*, 683 F. 2d 224, 229 (CA7 1982); *United States v. Lupino*, 480 F. 2d 720, 723–724 (CA8 1973); *United States v. Pruner*, 606 F. 2d 871, 873–874 (CA9 1979).³

During this same period, many States adopted similar laws,⁴ and no State's courts interpreted such a law to require knowledge of the defendant's status. See, e.g., *People v. Nieto*, 247 Cal. App. 2d 364, 368, 55 Cal. Rptr. 546, 549 (1966). *People v. Tenorio*, 197 Colo. 137, 144–145, 590 P. 2d 952, 957 (1979); *State v. Harmon*, 25 Ariz. App. 137, 139, 541 P. 2d 600, 602 (1975); *State v. Heald*, 382 A. 2d 290, 297 (Me. 1978); *Williams v. State*, 565 P. 2d 46, 49 (Okla. Crim. App. 1977).

All this case law formed part of the relevant backdrop of which we assume Congress was aware when it enacted § 924(a)(2)'s *mens rea* requirement in 1986. See Firearms Owners' Protection Act, 100 Stat. 449, note following 18 U. S. C. § 921. “We normally assume that, when Congress enacts statutes, it is aware of relevant judicial precedent.”

³The majority highlights a single case where the Sixth Circuit did require knowledge that the defendant was under indictment, out of a concern about secret indictments. *Ante*, at 235–236 (citing *United States v. Renner*, 496 F. 2d 922, 924, 927 (1974)). But Congress addressed this concern separately when it enacted the *mens rea* requirement. It moved the provision involving indictments to its own statutory subsection, § 922(n), and punished only willful violations, see § 924(a)(1)(D).

⁴See Brief for Everytown for Gun Safety as *Amicus Curiae* 6–8.

ALITO, J., dissenting

Ryan v. Valencia Gonzales, 568 U. S. 57, 66 (2013) (internal quotation marks omitted). Where all the Federal Courts of Appeals and all the state courts of last resort to have interpreted statutes prohibiting certain classes of persons from possessing firearms agreed that knowledge of status was not required, it is fair to expect Congress to legislate more clearly than it has done here if it seeks to deviate from those holdings. Adding the *mens rea* provision in § 924(a)(2) “clarif[ied]” that knowledge is the required *mens rea* with respect to a defendant’s conduct, *ante*, at 236, but it did not indicate any disagreement with the established consensus that already applied that *mens rea* to § 922(g)’s conduct element but not to the element of the defendant’s status.⁵

Finally, the judgment of the courts of appeals should count for something. In *Feola*, the Court cited the “practical unanimity” of the courts of appeals, 420 U. S., at 677; see also *Luna Torres*, 578 U. S., at 468 and here, even after Congress added the *mens rea* requirement, all the courts of appeals to address the question have held that it does not apply to the defendant’s status.⁶ In addition, the decisions of the

⁵ Contrary to the majority’s suggestion, *ante*, at 235–236, the addition of the *mens rea* requirement does serve a purpose under this interpretation: It codifies the holdings of the lower courts that knowledge is required for the conduct element. If Congress had left § 922(g) off the list of offenses requiring knowledge in § 924(a)(2), some may have invoked *expressio unius* to argue that a violation of § 922(g) required no *mens rea* at all. Cf. A. Scalia & B. Garner, *Reading Law: The Interpretation of Legal Texts* 107 (2012).

⁶ See *United States v. Smith*, 940 F. 2d 710, 713 (CA1 1991); *United States v. Huet*, 665 F. 3d 588, 596 (CA3 2012); *United States v. Langley*, 62 F. 3d 602, 604–608 (CA4 1995) (en banc); *United States v. Rose*, 587 F. 3d 695, 705–706, and n. 9 (CA5 2009) (*per curiam*); *United States v. Dancy*, 861 F. 2d 77, 80–82 (CA5 1988) (*per curiam*); *United States v. Lane*, 267 F. 3d 715, 720 (CA7 2001); *United States v. Thomas*, 615 F. 3d 895, 899 (CA8 2010); *United States v. Kind*, 194 F. 3d 900, 907 (CA8 1999); *United States v. Miller*, 105 F. 3d 552, 555 (CA9 1997); *Games-Perez*, 667 F. 3d, at 1142; *United States v. Capps*, 77 F. 3d 350, 352–354 (CA10 1996); *United States v. Jackson*, 120 F. 3d 1226, 1229

ALITO, J., dissenting

highest courts of States with laws similar to § 922(g) have continued to unanimously interpret those provisions in the same way.⁷

2

Petitioner contends that all the Courts of Appeals to address the question now before us have gone astray because they have not given proper weight to the presumption that a *mens rea* requirement applies to every element of an offense that results in the criminalization of otherwise innocent conduct. See *Elonis v. United States*, 575 U.S. 723 (2015); *United States v. X-Citement Video, Inc.*, 513 U.S. 64 (1994); *Morissette v. United States*, 342 U.S. 246 (1952). This concern, which also animates much of the majority’s analysis, is overstated.

The majority does not claim that the Constitution requires proof of *mens rea* for every status element or every element that has the effect of criminalizing what would otherwise be lawful conduct. Nor does it suggest that the presumption it invokes is irrebuttable for any other reason. That would be a radical conclusion because it has long been accepted that some status elements do not require knowledge. Laws that aim to protect minors, for example, often do not require proof that an offender had actual knowledge of the age of a minor who is the victim of a crime. “The majority rule in the United States is that a defendant’s knowledge of the age of a victim is not an essential element of statutory rape. . . . A defendant’s good faith or reasonable belief that the victim is over the age of consent is simply no defense.” *United States v. Gomez-Mendez*, 486 F. 3d 599, 603, n. 8 (CA9 2007). Similarly, 18 U.S.C. § 2243(a) makes it a crime, punishable by up to 15 years’ imprisonment, knowingly to engage in a sexual act with a person who is between

(CA11 1997) (*per curiam*); *United States v. Bryant*, 523 F. 3d 349, 354 (CA11 2008).

⁷ See Brief for Everytown for Gun Safety as *Amicus Curiae* 11–19 (collecting cases).

ALITO, J., dissenting

the ages of 12 and 16 and is at least four years younger than the accused. This statute expressly provides that knowledge of the victim's age need not be proved. §2241(d). I do not understand the majority to suggest that these laws, which dispense with proof of knowledge for public safety purposes, are invalid.

Not only is there no blanket rule requiring proof of *mens rea* with respect to every element that distinguishes between lawful and unlawful conduct, but petitioner exaggerates in suggesting that the so-called jurisdictional elements in federal criminal statutes comply with this “rule” because they do no more than provide a hook for prosecuting a crime in federal court. These elements often do more than that. They sometimes transform lawful conduct into criminal conduct: In a State that chooses to legalize marijuana, possession is wrongful only if the defendant is on federal property. Cf. 41 CFR §102–74.400 (2018). Jurisdictional elements may also drastically increase the punishment for a wrongful act. For example, the statute at issue in *Feola*, which criminalizes assault on a federal officer, doubles the possible prison sentence that would have been applicable to simple assault. Compare 18 U. S. C. §111 with §113. Just like a status element, a jurisdictional element can make the difference between some penalty and no penalty, or between significantly greater and lesser penalties.

Since a legislative body may enact a valid criminal statute with a strict-liability element, the dispositive question is whether it has done so or, in other words, whether the presumption that petitioner invokes is rebutted. This rebuttal can be done by the statutory text or other persuasive factors. See *Liparota v. United States*, 471 U. S. 419, 425 (1985) (applying presumption “[a]bsent indication of contrary purpose in the language or legislative history”); *X-Citement Video*, 513 U. S., at 70–72 (discussing statutory context in reaching conclusion); *Flores-Figueroa*, 556 U. S., at 652; *id.*, at 660 (ALITO, J., concurring in part and concurring in judg-

ALITO, J., dissenting

ment). And here, for the reasons discussed above, § 922(g) is best interpreted not to require proof that a defendant knew that he fell within one of the covered categories.

I add one last point about what can be inferred regarding Congress's intent. Once it becomes clear that statutory text alone does not answer the question that we face and we are left to infer Congress's intent based on other indicators, there is no reason why we must or should infer that Congress wanted the same *mens rea* to apply to all the elements of the § 922(g) offense. As we said in *Staples v. United States*, 511 U. S. 600, 609 (1994), "different elements of the same offense can require different mental states." And if Congress wanted to require proof of **some** *mens rea* with respect to the categories in § 922(g), there is absolutely no reason to suppose that it wanted to impose one of the highest degrees of *mens rea*—actual knowledge. Why not require reason to know or recklessness or negligence? To this question, neither petitioner nor the majority has any answer.

D

Because the context resolves the interpretive question, neither the canon of constitutional avoidance nor the rule of lenity can be invoked to dictate the result that the majority reaches. As to the canon, we have never held that the Due Process Clause requires *mens rea* for all elements of all offenses, and we have upheld the constitutionality of some strict-liability offenses in the past. See *United States v. Freed*, 401 U. S. 601 (1971); *United States v. Dotterweich*, 320 U. S. 277 (1943); *United States v. Balint*, 258 U. S. 250 (1922); *United States v. Behrman*, 258 U. S. 280 (1922). In any event, if the avoidance of a serious constitutional question required us to infer that some *mens rea* applies to § 922(g)'s status element, that would hardly justify bypassing lower levels of *mens rea* and going all the way to actual knowledge.

As for the rule of lenity, we resort to it "only if, after seizing everything from which aid can be derived, we can

ALITO, J., dissenting

make no more than a guess as to what Congress intended.” *Muscarello v. United States*, 524 U. S. 125, 138 (1998) (alterations and internal quotation marks omitted). And what I have just said about the constitutional avoidance canon applies equally to lenity: It cannot possibly justify requiring actual knowledge.

III

Although the majority presents its decision as modest, its practical effects will be far reaching and cannot be ignored. Tens of thousands of prisoners are currently serving sentences for violating 18 U. S. C. § 922(g).⁸ It is true that many pleaded guilty, and for most direct review is over. Nevertheless, every one of those prisoners will be able to seek relief by one route or another. Those for whom direct review has not ended will likely be entitled to a new trial. Others may move to have their convictions vacated under 28 U. S. C. § 2255, and those within the statute of limitations will be entitled to relief if they can show that they are actually innocent of violating § 922(g), which will be the case if they did not know that they fell into one of the categories of persons to whom the offense applies. *Bousley v. United States*, 523 U. S. 614, 618–619 (1998). If a prisoner asserts that he lacked that knowledge and therefore was actually innocent, the district courts, in a great many cases, may be required to hold a hearing, order that the prisoner be brought to court from a distant place of confinement, and make a credibility determination as to the prisoner’s subjective mental state at the time of the crime, which may have occurred years in the past. See *United States v. Garth*, 188 F. 3d 99, 109 (CA3 1999); *United States v. Jones*, 172 F. 3d 381, 384–385 (CA5 1999); *United States v. Hellbusch*, 147

⁸The U. S. Sentencing Commission reports that in fiscal year 2017 there were 6,032 offenders convicted under 18 U. S. C. § 922(g), with an average sentence of 64 months, https://www.ussc.gov/sites/default/files/pdf/research-and-publications/quick-facts/Felon_in_Possession_FY17.pdf (as last visited June 19, 2019).

ALITO, J., dissenting

F. 3d 782, 784 (CA8 1998); *United States v. Benboe*, 157 F. 3d 1181, 1184 (CA9 1998). This will create a substantial burden on lower courts, who are once again left to clean up the mess the Court leaves in its wake as it moves on to the next statute in need of “fixing.” Cf. *Mathis v. United States*, 579 U. S. 500, 507–508 (2016) (ALITO, J., dissenting).

Nor is there any reason to think that the Court’s reasoning here will necessarily be limited to § 922(g). The Court goes out of its way to point out that it is not taking a position on the applicability of *mens rea* requirements in other status-based offenses, even where the statute lists the status *before* the *mens rea*. *Ante*, at 233.

* * *

The majority today opens the gates to a flood of litigation that is sure to burden the lower courts with claims for relief in a host of cases where there is no basis for doubting the defendant’s knowledge. The majority’s interpretation of § 922(g) is not required by the statutory text, and there is no reason to suppose that it represents what Congress intended.

I respectfully dissent.

Syllabus

NORTH CAROLINA DEPARTMENT OF REVENUE *v.*
KIMBERLEY RICE KAESTNER 1992
FAMILY TRUST

CERTIORARI TO THE SUPREME COURT OF NORTH CAROLINA

No. 18–457. Argued April 16, 2019—Decided June 21, 2019

Joseph Lee Rice III formed a trust for the benefit of his children in his home State of New York and appointed a fellow New York resident as the trustee. The trust agreement granted the trustee “absolute discretion” to distribute the trust’s assets to the beneficiaries. In 1997, Rice’s daughter, Kimberley Rice Kaestner, moved to North Carolina. The trustee later divided Rice’s initial trust into three separate subtrusts, and North Carolina sought to tax the Kimberley Rice Kaestner 1992 Family Trust (Trust)—formed for the benefit of Kaestner and her three children—under a law authorizing the State to tax any trust income that “is for the benefit of” a state resident, N. C. Gen. Stat. Ann. § 105–160.2. The State assessed a tax of more than \$1.3 million for tax years 2005 through 2008. During that period, Kaestner had no right to, and did not receive, any distributions. Nor did the Trust have a physical presence, make any direct investments, or hold any real property in the State. The trustee paid the tax under protest and then sued the taxing authority in state court, arguing that the tax as applied to the Trust violates the Fourteenth Amendment’s Due Process Clause. The state courts agreed, holding that the Kaestners’ in-state residence was too tenuous a link between the State and the Trust to support the tax.

Held: The presence of in-state beneficiaries alone does not empower a State to tax trust income that has not been distributed to the beneficiaries where the beneficiaries have no right to demand that income and are uncertain to receive it. Pp. 268–279.

(a) The Due Process Clause limits States to imposing only taxes that “bea[r] fiscal relation to protection, opportunities and benefits given by the state.” *Wisconsin v. J. C. Penney Co.*, 311 U.S. 435, 444. Compliance with the Clause’s demands “requires some definite link, some minimum connection, between a state and the person, property or transaction it seeks to tax,” and that “the ‘income attributed to the State for tax purposes . . . be rationally related to ‘values connected with the taxing State.’”” *Quill Corp. v. North Dakota*, 504 U.S. 298, 306. That “minimum connection” inquiry is “flexible” and focuses on the reasonableness of the government’s action. *Id.*, at 307. Pp. 268–269.

(b) In the trust beneficiary context, the Court’s due process analysis of state trust taxes focuses on the extent of the in-state beneficiary’s

Syllabus

right to control, possess, enjoy, or receive trust assets. Cases such as *Safe Deposit & Trust Co. of Baltimore v. Virginia*, 280 U. S. 83; *Brooke v. Norfolk*, 277 U. S. 27; and *Maguire v. Trefry*, 253 U. S. 12, reflect a common principle: When a State seeks to base its tax on the in-state residence of a trust beneficiary, the Due Process Clause demands a pragmatic inquiry into what exactly the beneficiary controls or possesses and how that interest relates to the object of the State’s tax. *Safe Deposit*, 280 U. S., at 91. Similar analysis also appears in the context of taxes premised on the in-state residency of settlors and trustees. See, e. g., *Curry v. McCannless*, 307 U. S. 357. Pp. 270–274.

(c) Applying these principles here, the residence of the Trust beneficiaries in North Carolina alone does not supply the minimum connection necessary to sustain the State’s tax. First, the beneficiaries did not receive any income from the Trust during the years in question. Second, they had no right to demand Trust income or otherwise control, possess, or enjoy the Trust assets in the tax years at issue. Third, they also could not count on necessarily receiving any specific amount of income from the Trust in the future. Pp. 274–276.

(d) The State’s counterarguments are unconvincing. First, the State argues that “a trust and its constituents” are always “inextricably intertwined,” and thus, because trustee residence supports state taxation, so too must beneficiary residence. The State emphasizes that beneficiaries are essential to a trust and have an equitable interest in its assets. Although a beneficiary is central to the trust relationship, the wide variation in beneficiaries’ interests counsels against adopting such a categorical rule. Second, the State argues that ruling in favor of the Trust will undermine numerous state taxation regimes. But only a small handful of States rely on beneficiary residency as a sole basis for trust taxation, and an even smaller number rely on the residency of beneficiaries regardless of whether the beneficiary is certain to receive trust assets. Finally, the State urges that adopting the Trust’s position will lead to opportunistic gaming of state tax systems. There is no certainty, however, that such behavior will regularly come to pass, and in any event, mere speculation about negative consequences cannot conjure the “minimum connection” missing between the State and the object of its tax. Pp. 277–279.

371 N. C. 133, 814 S. E. 2d 43, affirmed.

SOTOMAYOR, J., delivered the opinion for a unanimous Court. ALITO, J., filed a concurring opinion, in which ROBERTS, C. J., and GORSUCH, J., joined, *post*, p. 279.

Matthew W. Sawchak, Solicitor General of North Carolina, argued the cause for petitioner. With him on the briefs

were *Joshua H. Stein*, Attorney General, *James W. Doggett* and *Ryan Y. Park*, Deputy Solicitors General, *Robert F. Orr*, *Andrew H. Erteschik*, *Saad Gul*, and *John M. Durnovich*.

David A. O'Neil argued the cause for respondent. With him on the brief were *Anna A. Moody* and *Thomas Dean Myrick*.*

*Briefs of *amici curiae* urging reversal were filed for the State of Minnesota et al. by *Keith Ellison*, Attorney General of Minnesota, and *John O'Mahoney*, Assistant Attorney General, and by the Attorneys General for their respective jurisdictions as follows: *Steve Marshall* of Alabama, *Xavier Becerra* of California, *Phil Weiser* of Colorado, *William Tong* of Connecticut, *Karl A. Racine* of the District of Columbia, *Christopher M. Carr* of Georgia, *Lawrence G. Wasden* of Idaho, *Kwame Raoul* of Illinois, *Tom Miller* of Iowa, *Dana Nessel* of Michigan, *Tim Fox* of Montana, *Doug Peterson* of Nebraska, *Grubir S. Grewal* of New Jersey, *Wayne Stenehjem* of North Dakota, *Dave Yost* of Ohio, *Mike Hunter* of Oklahoma, *Ellen F. Rosenblum* of Oregon, *Josh Shapiro* of Pennsylvania, *Peter F. Neronha* of Rhode Island, and *Robert W. Ferguson* of Washington; for Law Professors by *Stephen D. Feldman* and *Thomas H. Segars*; and for Tax Law Professors by *Erik R. Zimmerman*.

Briefs of *amici curiae* urging affirmance were filed for the State of South Dakota et al. by *Jason R. Ravensborg*, Attorney General of South Dakota, and *Paul S. Swedlund* and *Matthew W. Templar*, Assistant Attorneys General, and by the Attorneys General for their respective States as follows: *Jahna Lindemuth* of Alaska, *Aaron D. Ford* of Nevada, and *Ken Paxton* of Texas; for the American College of Tax Counsel by *C. Wells Hall III*, *Charles H. Mercer, Jr.*, and *Reed J. Hollander*; for Certain State Trust Associations et al. by *David M. Lehn*; for the Chamber of Commerce of the United States of America by *Andrew J. Pincus* and *Daniel E. Jones*; for the Council on State Taxation by *Fredrick Nicely*, *Nikki Dobay*, *Karl Frieden*, and *David Sawyer*; for the New York State Bar Association by *Robert M. Harper*, *Angelo M. Grasso*, *Jeffery H. Sheetz*, and *Lois Bladykas*; for Washington State Tax Practitioners by *Dirk Giseburt, pro se*; for Roberta Lea Brilmayer by *William D. Zabel*, *Catherine Grevers Schmidt*, and *John J. Rector*; and for William Fielding by *Walter A. Pickhardt* and *Nicholas J. Nelson*.

Briefs of *amici curiae* were filed for the American College of Trust Counsel et al. by *Robert W. Goldman*; and for Constitutional Law Scholars by *Alan B. Morrison*, *Allan Erbsen*, and *Darien Shanske*, all *pro se*.

Opinion of the Court

JUSTICE SOTOMAYOR delivered the opinion of the Court.

This case is about the limits of a State’s power to tax a trust. North Carolina imposes a tax on any trust income that “is for the benefit of” a North Carolina resident. N. C. Gen. Stat. Ann. §105–160.2 (2017). The North Carolina courts interpret this law to mean that a trust owes income tax to North Carolina whenever the trust’s beneficiaries live in the State, even if—as is the case here—those beneficiaries received no income from the trust in the relevant tax year, had no right to demand income from the trust in that year, and could not count on ever receiving income from the trust. The North Carolina courts held the tax to be unconstitutional when assessed in such a case because the State lacks the minimum connection with the object of its tax that the Constitution requires. We agree and affirm. As applied in these circumstances, the State’s tax violates the Due Process Clause of the Fourteenth Amendment.

I

A

In its simplest form, a trust is created when one person (a “settlor” or “grantor”) transfers property to a third party (a “trustee”) to administer for the benefit of another (a “beneficiary”). A. Hess, G. Bogert, & G. Bogert, *Law of Trusts and Trustees* §1, pp. 8–10 (3d ed. 2007). As traditionally understood, the arrangement that results is not a “distinct legal entity, but a ‘fiduciary relationship’ between multiple people.” *Americold Realty Trust v. ConAgra Foods, Inc.*, 577 U. S. 378, 383 (2016). The trust comprises the separate interests of the beneficiary, who has an “equitable interest” in the trust property, and the trustee, who has a “legal interest” in that property. *Greenough v. Tax Assessors of Newport*, 331 U. S. 486, 494 (1947). In some contexts, however,

trusts can be treated as if the trust itself has “a separate existence” from its constituent parts. *Id.*, at 493.¹

The trust that challenges North Carolina’s tax had its first incarnation nearly 30 years ago, when New Yorker Joseph Lee Rice III formed a trust for the benefit of his children. Rice decided that the trust would be governed by the law of his home State, New York, and he appointed a fellow New York resident as the trustee.² The trust agreement provided that the trustee would have “absolute discretion” to distribute the trust’s assets to the beneficiaries “in such amounts and proportions” as the trustee might “from time to time” decide. Art. I, § 1.2(a), App. 46–47.

When Rice created the trust, no trust beneficiary lived in North Carolina. That changed in 1997, when Rice’s daughter, Kimberley Rice Kaestner, moved to the State. She and her minor children were residents of North Carolina from 2005 through 2008, the time period relevant for this case.

A few years after Kaestner moved to North Carolina, the trustee divided Rice’s initial trust into three subtrusts. One of these subtrusts—the Kimberley Rice Kaestner 1992 Family Trust (Kaestner Trust or Trust)—was formed for the benefit of Kaestner and her three children. The same agreement that controlled the original trust also governed the Kaestner Trust. Critically, this meant that the trustee had exclusive control over the allocation and timing of trust distributions.

North Carolina explained in the state-court proceedings that the State’s only connection to the Trust in the relevant tax years was the in-state residence of the Trust’s beneficiaries. App. to Pet. for Cert. 54a. From 2005 through 2008, the trustee chose not to distribute any of the income that

¹ Most notably, trusts are treated as distinct entities for federal taxation purposes. *Greenough*, 331 U. S., at 493; see *Anderson v. Wilson*, 289 U. S. 20, 26–27 (1933).

² This trustee later was succeeded by a new trustee who was a Connecticut resident during the relevant time period.

Opinion of the Court

the Trust accumulated to Kaestner or her children, and the trustee's contacts with Kaestner were "infrequent."³ 371 N. C. 133, 143, 814 S. E. 2d 43, 50 (2018). The Trust was subject to New York law, Art. X, App. 69, the grantor was a New York resident, App. 44, and no trustee lived in North Carolina, 371 N. C., at 134, 814 S. E. 2d, at 45. The trustee kept the Trust documents and records in New York, and the Trust asset custodians were located in Massachusetts. *Ibid.* The Trust also maintained no physical presence in North Carolina, made no direct investments in the State, and held no real property there. App. to Pet. for Cert. 52a–53a.

The Trust agreement provided that the Kaestner Trust would terminate when Kaestner turned 40, after the time period relevant here. After consulting with Kaestner and in accordance with her wishes, however, the trustee rolled over the assets into a new trust instead of distributing them to her. This transfer took place after the relevant tax years. See N. Y. Est., Powers & Trusts Law Ann. § 10–6.6(b) (West 2002) (authorizing this action).

B

North Carolina taxes any trust income that "is for the benefit of" a North Carolina resident. N. C. Gen. Stat. Ann. § 105–160.2. The North Carolina Supreme Court interprets the statute to authorize North Carolina to tax a trust on the sole basis that the trust beneficiaries reside in the State. 371 N. C., at 143–144, 814 S. E. 2d, at 51.

Applying this statute, the North Carolina Department of Revenue assessed a tax on the full proceeds that the Kaestner Trust accumulated for tax years 2005 through 2008 and required the trustee to pay it. See N. C. Gen. Stat.

³The state court identified only two meetings between Kaestner and the trustee in those years, both of which took place in New York. 371 N. C. 133, 143, 814 S. E. 2d 43, 50 (2018). The trustee also gave Kaestner accountings of trust assets and legal advice concerning the Trust. *Id.*, at 135, 814 S. E. 2d, at 45.

Ann. § 105–160.2. The resulting tax bill amounted to more than \$1.3 million. The trustee paid the tax under protest and then sued in state court, arguing that the tax as applied to the Kaestner Trust violates the Due Process Clause of the Fourteenth Amendment.

The trial court decided that the Kaestners’ residence in North Carolina was too tenuous a link between the State and the Trust to support the tax and held that the State’s taxation of the Trust violated the Due Process Clause. App. to Pet. for Cert. 62a.⁴ The North Carolina Court of Appeals affirmed, as did the North Carolina Supreme Court. A majority of the State Supreme Court reasoned that the Kaestner Trust and its beneficiaries “have legally separate, taxable existences” and thus that the contacts between the Kaestner family and their home State cannot establish a connection between the Trust “itself” and the State. 371 N. C., at 140–142, 814 S. E. 2d, at 49.

We granted certiorari to decide whether the Due Process Clause prohibits States from taxing trusts based only on the in-state residency of trust beneficiaries. 586 U. S. 1112 (2019).

II

The Due Process Clause provides that “[n]o State shall . . . deprive any person of life, liberty, or property, without due process of law.” Amdt. 14, § 1. The Clause “centrally concerns the fundamental fairness of governmental activity.” *Quill Corp. v. North Dakota*, 504 U. S. 298, 312 (1992), overruled on other grounds, *South Dakota v. Wayfair, Inc.*, 585 U. S. 162, 176 (2018).

In the context of state taxation, the Due Process Clause limits States to imposing only taxes that “bea[r] fiscal rela-

⁴The trial court also held that North Carolina’s tax violates the dormant Commerce Clause. The state appellate courts did not affirm on this basis, and we likewise do not address this challenge.

Opinion of the Court

tion to protection, opportunities and benefits given by the state.” *Wisconsin v. J. C. Penney Co.*, 311 U. S. 435, 444 (1940). The power to tax is, of course, “essential to the very existence of government,” *McCulloch v. Maryland*, 4 Wheat. 316, 428 (1819), but the legitimacy of that power requires drawing a line between taxation and mere unjustified “confiscation,” *Miller Brothers Co. v. Maryland*, 347 U. S. 340, 342 (1954). That boundary turns on the “[t]he simple but controlling question . . . whether the state has given anything for which it can ask return.” *Wisconsin*, 311 U. S., at 444.

The Court applies a two-step analysis to decide if a state tax abides by the Due Process Clause. First, and most relevant here, there must be “‘some definite link, some minimum connection, between a state and the person, property or transaction it seeks to tax.’” *Quill*, 504 U. S., at 306. Second, “the ‘income attributed to the State for tax purposes must be rationally related to ‘values connected with the taxing State.’”” *Ibid.*⁵

To determine whether a State has the requisite “minimum connection” with the object of its tax, this Court borrows from the familiar test of *International Shoe Co. v. Washington*, 326 U. S. 310 (1945). *Quill*, 504 U. S., at 307. A State has the power to impose a tax only when the taxed entity has “certain minimum contacts” with the State such that the tax “does not offend ‘traditional notions of fair play and substantial justice.’” *International Shoe*, 326 U. S., at 316; see *Quill*, 504 U. S., at 308. The “minimum contacts” inquiry is “flexible” and focuses on the reasonableness of the government’s action. *Id.*, at 307. Ultimately, only those who derive “benefits and protection” from associating with a State should have obligations to the State in question. *International Shoe*, 326 U. S., at 319.

⁵Because North Carolina’s tax on the Kaestner Trust does not meet *Quill*’s first requirement, we do not address the second.

III

One can imagine many contacts with a trust or its constituents that a State might treat, alone or in combination, as providing a “minimum connection” that justifies a tax on trust assets. The Court has already held that a tax on trust income distributed to an in-state resident passes muster under the Due Process Clause. *Maguire v. Trefry*, 253 U. S. 12, 16–17 (1920). So does a tax based on a trustee’s in-state residence. *Greenough*, 331 U. S., at 498. The Court’s cases also suggest that a tax based on the site of trust administration is constitutional. See *Hanson v. Denckla*, 357 U. S. 235, 251 (1958); *Curry v. McCanless*, 307 U. S. 357, 370 (1939).

A different permutation is before the Court today. The Kaestner Trust made no distributions to any North Carolina resident in the years in question. 371 N. C., at 134–135, 814 S. E. 2d, at 45. The trustee resided out of State, and Trust administration was split between New York (where the Trust’s records were kept) and Massachusetts (where the custodians of its assets were located). *Id.*, at 134, 814 S. E. 2d, at 45. The trustee made no direct investments in North Carolina in the relevant tax years, App. to Pet. for Cert. 52a, and the settlor did not reside in North Carolina, 371 N. C., at 134, 814 S. E. 2d, at 45. Of all the potential kinds of connections between a trust and a State, the State seeks to rest its tax on just one: the in-state residence of the beneficiaries. Brief for Petitioner 34–36; see App. to Pet. for Cert. 54a.

We hold that the presence of in-state beneficiaries alone does not empower a State to tax trust income that has not been distributed to the beneficiaries where the beneficiaries have no right to demand that income and are uncertain ever to receive it. In limiting our holding to the specific facts presented, we do not imply approval or disapproval of trust taxes that are premised on the residence of beneficiaries whose relationship to trust assets differs from that of the beneficiaries here.

Opinion of the Court

A

In the past, the Court has analyzed state trust taxes for consistency with the Due Process Clause by looking to the relationship between the relevant trust constituent (settlor, trustee, or beneficiary) and the trust assets that the State seeks to tax. In the context of beneficiary contacts specifically, the Court has focused on the extent of the in-state beneficiary's right to control, possess, enjoy, or receive trust assets.

The Court's emphasis on these factors emerged in two early cases, *Safe Deposit & Trust Co. of Baltimore v. Virginia*, 280 U. S. 83 (1929), and *Brooke v. Norfolk*, 277 U. S. 27 (1928), both of which invalidated state taxes premised on the in-state residency of beneficiaries. In each case the challenged tax fell on the entirety of a trust's property, rather than on only the share of trust assets to which the beneficiaries were entitled. *Safe Deposit*, 280 U. S., at 90, 92; *Brooke*, 277 U. S., at 28. In *Safe Deposit*, the Court rejected Virginia's attempt to tax a trustee on the "whole corpus of the trust estate," 280 U. S., at 90; see *id.*, at 93, explaining that "nobody within Virginia ha[d] present right to [the trust property's] control or possession, or to receive income therefrom," *id.*, at 91. In *Brooke*, the Court rejected a tax on the entirety of a trust fund assessed against a resident beneficiary because the trust property "[wa]s not within the State, d[id] not belong to the [beneficiary] and [wa]s not within her possession or control." 277 U. S., at 29.⁶

⁶The State contends that *Safe Deposit* is no longer good law under the more flexible approach in *International Shoe Co. v. Washington*, 326 U. S. 310 (1945), and also because it was premised on the view, later disregarded in *Curry v. McCannless*, 307 U. S. 357, 363 (1939), that the Due Process Clause forbids "double taxation." Brief for Petitioner 27–28, and n. 12. We disagree. The aspects of the case noted here are consistent with the pragmatic approach reflected in *International Shoe*, and *Curry* distinguished *Safe Deposit* not because the earlier case incorrectly relied on concerns of double taxation but because the beneficiaries there had "[n]o comparable right or power" to that of the settlor in *Curry*. 307 U. S., at 371, n. 6.

Opinion of the Court

On the other hand, the same elements of possession, control, and enjoyment of trust property led the Court to uphold state taxes based on the in-state residency of beneficiaries who did have close ties to the taxed trust assets. The Court has decided that States may tax trust income that is actually distributed to an in-state beneficiary. In those circumstances, the beneficiary “own[s] and enjoy[s]” an interest in the trust property, and the State can exact a tax in exchange for offering the beneficiary protection. *Maguire*, 253 U. S., at 17; see also *Guaranty Trust Co. v. Virginia*, 305 U. S. 19, 21–23 (1938).

All of the foregoing cases reflect a common governing principle: When a State seeks to base its tax on the in-state residence of a trust beneficiary, the Due Process Clause demands a pragmatic inquiry into what exactly the beneficiary controls or possesses and how that interest relates to the object of the State’s tax. See *Safe Deposit*, 280 U. S., at 91.

Although the Court’s resident-beneficiary cases are most relevant here, similar analysis also appears in the context of taxes premised on the in-state residency of settlors and trustees. In *Curry*, for instance, the Court upheld a Tennessee trust tax because the settlor was a Tennessee resident who retained “power to dispose of” the property, which amounted to “a potential source of wealth which was property in her hands.” 307 U. S., at 370. That practical control over the trust assets obliged the settlor “to contribute to the support of the government whose protection she enjoyed.” *Id.*, at 371; see also *Graves v. Elliott*, 307 U. S. 383, 387 (1939) (a settlor’s “right to revoke [a] trust and to demand the transmission to her of the intangibles . . . was a potential source of wealth” subject to tax by her State of residence).⁷

⁷Though the Court did not have occasion in *Curry* or *Graves* to explore whether a lesser degree of control by a settlor also could sustain a tax by the settlor’s domicile (and we do not today address that possibility), these cases nevertheless reinforce the logic employed by *Safe Deposit*, *Brooke v. Norfolk*, 277 U. S. 27 (1928), *Maguire v. Trefry*, 253 U. S. 12 (1920), and